community to be part of. Marriage is particularly important. Repeated studies have found that there is a very close correlation between good marriages and high subjective well-being, and between bad marriages and misery. This holds true irrespective of economic or even physical conditions. An impecunious invalid surrounded by a loving spouse, a devoted family and a warm community may well feel better than an alienated billionaire, provided that the invalid's poverty is not too severe and that his illness is not degenerative or painful.

This raises the possibility that the immense improvement in material conditions over the last two centuries was offset by the collapse of the family and the community. If so, the average person might well be no happier today than in 1800. Even the freedom we value so highly may be working against us. We can choose our spouses, friends and neighbours, but they can choose to leave us. With the individual wielding unprecedented power to decide her own path in life, we find it ever harder to make commitments. We thus live in an increasingly lonely world of unravelling communities and families.

But the most important finding of all is that happiness does not really depend on objective conditions of either wealth, health or even community. Rather, it depends on the correlation between objective conditions and subjective expectations. If you want a bullock-cart and get a bullock-cart, you are content. If you want a brand-new Ferrari and get only a second-hand Fiat, you feel deprived. This is why winning the lottery has, over time, the same impact on people's happiness as a debilitating car accident. When things improve, expectations balloon, and consequently even dramatic improvements in objective conditions can leave us dissatisfied. When things deteriorate, expectations shrink, and consequently even a severe illness might leave you pretty much as happy as you were before.

You might say that we didn't need a bunch of psychologists and their questionnaires to discover this. Prophets, poets and philosophers realised thousands of years ago that being satisfied with what you already have is far more important than getting more of what you want. Still, it's nice when modern research – bolstered by lots of numbers and charts – reaches the same conclusions the ancients did.

The crucial importance of human expectations has far-reaching implications for understanding the history of happiness. If happiness depended only on